Module 14
Taxation

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

Before we discuss the source and taxation of the download fee income, it is necessary to first characterise the nature of the income (i.e. business income vs royalty) as different source and taxing rules apply.

Departmental Interpretation and Practice Notes ("DIPN") No. 39 (Revised) provides guidance for the characterisation of the income from e-commerce transactions.

If a user is granted the right to reproduce, modify, or exploit software, the payment is consideration for the use of the copyright in the software and would thus constitute royalty.

Alternatively, if the right acquired in relation to the copyright is limited to that necessary to enable the user to operate the software, the right for the act of copying is merely to enable the effective operation of the software on the user's computer and hence the payment is not generally be treated as royalty.

The Inland Revenue Department ("IRD") has further clarified in the practice notes that if payment is made to acquire digital content and the use of copyright is merely incidental to the process of acquiring, capturing and storing the digital content, the payment would not be royalty.

In this case, as the registered readers are only allowed to use (i.e. download, copy and read) the e-books but are not granted the right to reproduce, modify or exploit the related digital content, according to DIPN No. 39 (Revised) the download fee income would not be considered royalty but would instead be considered business income.

In contrast, for sub-licensing income, as Tao Limited is a book publisher acquiring the copyright for use in books which will be published for sale, the user is in fact granted the right to use the copyright, and hence the income would be considered royalty.

Answer 1(b)

The test for source of business income is the operation test, where the Hang Seng Bank case has provided the broad guiding principle that "one looks to see what the taxpayer has done to earn the profits in question, and where he has done it".

The HK-TVBI case, which approved the operation test, considered that the proper approach was to ascertain "what were the operations that produced the profit and where those operations took place".

For the download fee income, the following factors are relevant:

Activity	Location	Performed by
Acquisition of novels	Hong Kong	Business manager
Digitalisation of content	Hong Kong	IT technician
Database and system update	Hong Kong	IT technician
Reader registration, order taking, payment handling, e-book downloading	Country S	Server in Country S
Office admin, accounting and banking	Hong Kong	Office manager

In DIPN No. 39 (Revised), the IRD has indicated that if an e-commerce operation that is significantly automated by a server or servers located outside Hong Kong used to provide a communication linkage between contracting parties, this fact does not of itself lead to the conclusion that the source of profit is located outside Hong Kong.

These operations must be weighted against the core operation required to effect the e-commerce transaction, which may be carried out within a physical office.

It is usually the case that tasks undertaken through a server are performed according to pre-designed application software since the server cannot function by itself, and human functions remain important in carrying on of the e-commerce business as a whole.

It follows that the Commissioner of Inland Revenue ("CIR") takes the view that the server location alone does not determine the locality of profit, and the proper approach is to focus on the core operations that have effected the e-commerce transaction to earn the profit in question.

By reference to the table above and the suggested approach from the CIR, it is not difficult to observe that the core operation and support activities extend beyond the server operation alone and include the more important pre-sale activities of content acquisition, preparation and database maintenance, plus the post-sale activities of back-office control and management.

As the overwhelming pre- and post-sale activities are entirely conducted by K Limited's staff in Hong Kong, the download fee income is onshore in nature.

Turning to the sub-licensing fee income, DIPN No. 21 (Revised) provides that the locality of royalties is governed by the place of acquisition and granting of the license or right of use. This test is in line with the decision in the HK-TVBI case where the court found that the transactions which produced the profits in question were the acquisition of the exclusive rights of granting sub-licenses; and the actual granting of the sub-licenses.

In our case, licensing contracts with authors for acquisition of copyrights were effected in Hong Kong by the business manager, and the same is true for the sub-licensing contract with the user Tao Limited for granting of the copyright.

Therefore, the sub-license fee income is onshore in nature.

Answer 2(a)

In computing the assessable profits of K Limited, all outgoings and expenses not capital in nature, to the extent to which they are incurred in the production of chargeable profits, are deductible under s.16(1) of the Inland Revenue Ordinance ("IRO").

Since the relevant income in question is the taxable sub-license fee income of HK$2,000,000, it follows that the key issue that needs evaluation is whether the corresponding withholding tax of HK$140,000 is an outgoing and expense.

The IRD's view is that if a tax on profit or income is an application of the profits and not an outgoing or expense incurred in producing chargeable profits, the tax is not deductible.

To conclude, the withholding tax of HK$140,000 corresponding to the taxable sub-license fee income of HK$2,000,000 is not tax deductible under s.16(1) of the IRO, being not an outgoing and expense.

Answer 2(b)

Under the double tax agreement between Hong Kong and mainland China ("DTA"), double taxation is relieved by the allowance of a tax credit. In accordance with Article 21 of the DTA, mainland China tax paid in mainland China in respect of any item of income derived by a resident of Hong Kong will be allowed as a credit against the Hong Kong tax payable on that income by that resident.

However, the tax credit amount will not exceed the amount of tax payable in respect of that item of income, computed in accordance with the provisions of the IRO.

In this case K Limited's sub-license fee income is subject to mainland China corporate income tax, and the mainland China tax was paid by way of withholding by the payer. On the other hand, the same income is subject to Hong Kong profits tax being a Hong Kong source revenue income.

Therefore, double taxation has arisen, on the basis that K Limited is a Hong Kong tax resident company as defined under the DTA (being a Hong Kong incorporated company) and is a beneficial owner of the sub-license fee income. K Limited is thus entitled to claim a tax credit under Hong Kong profits tax for relief of the double taxation problem.

K Limited
Profits Tax Computation 2024/25
Year Ended 31 December 2024

		HK$
Assessable income HK$(5,000,000 + 140,000)		5,140,000
Tax payable @16.5% before allowance of tax credit		848,100
Less :	Tax credit	
	Tax paid in mainland China = HK$140,000	
	or	
	Tax credit limit	
	HK$(2,000,000 – 1,200,000) x 16.5% = HK$132,000	
	(whichever is lower)	(132,000)
Hong Kong profits tax payable after allowance of tax credit		716,100

Answer 3(a)

After the business restructuring, K Limited's presence in Hong Kong will be reduced to the physical asset of the dedicated server located in the data centre. As the usual operating structure including an office, operating assets and personnel is no longer existing in Hong Kong, this poses the question of whether K Limited is still carrying on a business in Hong Kong.

The question of whether operations or activities amount to carrying on a business is a question of fact and degree upon consideration of all the relevant circumstances.

Although it is not essential for a person carrying on a business to have an office, staff, or organisation, where none of these factors exist, there must be other clear evidence of carrying on a business.

In the case of American Leaf Blending Co Sdn Bhd v Director-General of Inland Revenue [1979] AC 676, the Judge suggested that "… in the case of a company incorporated for the purpose of making profits for its shareholders any gainful use to which it puts any of its assets prima facie amounts to the carrying on of a business."

From the business model and financial results before the business restructuring, there is no doubt that K Limited is incorporated for the purpose of making profit for its shareholders.

After the business restructuring with the aggressive scaling down of operations, what is left behind in Hong Kong is the server owned by and at the disposal of K Limited. There is no other asset or business operation located elsewhere that contributes to the earning of K Limited's profit post restructuring.

The server is maintained by K Limited in terms of rent payment to the data centre, payment of electricity bills for running the server 24x7, and data transmission to Kim necessary for operation status monitoring and transaction recording (i.e. orders received, download statistics, reader membership status, etc.).

It is very probable that K Limited is making use of its only asset located in Hong Kong (i.e. the server) to continue its profit-seeking adventure thus amounting to carrying on of a business.

S.50AAK(1) of the IRO is concerned with whether a non-Hong Kong resident person is regarded as carrying on a business in Hong Kong by having a permanent establishment ("PE") in Hong Kong. Whether the non-Hong Kong resident has a PE in Hong Kong is determined in accordance with Part 3 of Schedule 17G of the IRO.

To sum up:

The Hong Kong server is at the disposal of K Limited and constitutes a fixed place of business of K Limited.

K Limited conducts an essential and significant part of its business activity through the server, which is capable of storing the e-books, registering new readers, taking orders from readers, releasing e-books by allowing downloads, and feeding the transaction information to the owner.

Even without any human intervention, due to the dominance of the functionality of the server in the whole value chain of K Limited's business, the server would constitute a PE under Part 3 of Schedule 17G of the IRO.

Relying on the above analysis that is largely applicable to a Hong Kong resident corporation, K Limited is still carrying on a business in Hong Kong post restructuring.

Answer 3(b)

S.16(1)(ca) of the IRO is a unilateral relief from double taxation whereby specified tax that is paid outside Hong Kong by a person who carries on a business in Hong Kong in respect of his profits chargeable to profits tax is deductible.

Specified tax is defined under s.16(3) of the IRO to include tax imposed by a territory outside Hong Kong that is:

- of substantially the same nature as profits tax and;
- charge on a certain percentage of income received from that territory without deduction for outgoings and expenses when computing the amount of tax charged; and
- not in respect of profits of the person chargeable to tax because of the deeming provisions relating to interest income, gain or profit associated with certain financial instruments.

However, s.16(2J) of the IRO restricts the above unilateral tax relief if the specified tax is paid in a DTA territory and the tax is creditable under s.50 of the IRO against the taxpayer's Hong Kong profits tax payable.

Based on the facts pattern of the case, though there is no double taxation agreement between Hong Kong and Country S and hence the restriction under s.16(2J) of the IRO has no application here, the corporate income tax paid in Country S by K Limited does not satisfy the 2nd limb of the definition of specified tax as it is charged based on business profit rather than gross business revenue.

To sum up, corporate income tax paid in Country S in respect of K Limited's business profits that are also subject to profits tax in Hong Kong is not deductible under s.16(1)(ca) of the IRO in computing K Limited's assessable profits.

Answer 3(c)

After the business restructuring, K Limited's business activity will scale down significantly to merely receiving orders from readers and releasing e-books after payment is made, which are largely automated processes handled by the server without human intervention.

The amount and complexity of the bookkeeping and accounting support really required from the related company in Country S seems insignificant, routine in nature and low value.

From a cost structure perspective, the salaries plus office rent and administrative expenses before the restructuring was only HK$3,000,000. This sum already included the payroll costs for the more value-added roles of business manager and IT technician, which are no longer in place post restructuring.

One would speculate whether the annual fee of HK$8,000,000 to an overseas related party, if tax deductible, is a measure to siphon off the profit of K Limited resulting in lower or no Hong Kong profits tax liability.

With the above in mind, the annual fee of HK$8,000,000 likely is excessive and not justifiable.

Since Kim Pte Limited and K Limited are parent-subsidiary, they are related parties and the transaction between the two should be at arm's length and in accordance with the transfer pricing rules prescribed under the IRO.

If the parties fail to meet this requirement, the IRD may make tax adjustments to the transfer price adopted resulting in tax undercharged, and further imposing penalties.

Additionally, given there is no double tax agreement between Hong Kong and Country S, there is no relief for double taxation due to transfer pricing adjustment.

Based on the above, it is likely that the services provided by Kim Pte Ltd are low-value added, routine and administrative in nature. There is no information indicating that Kim Pte Ltd will assume significant business risk from taking up the accounting and bookkeeping function.

Therefore, a cost-plus transfer pricing methodology seems appropriate given the circumstances.

Answer 4(a)

The license fee to the non-resident authors is for the right to use copyright in Hong Kong by K Limited.

Alternatively, K Limited could have claimed the license fee expense as deductible in computing its assessable profits.

Either way will render the license fee income deemed to be arising in or derived from Hong Kong by a business carried on in Hong Kong by the authors under s.15(1)(b) or s.15(1)(ba) of the IRO.

The assessable profits is deemed to be 30% of the gross receipt under s.21A of the IRO as K Limited and the authors are unrelated parties.

Under s.20B of the IRO, K Limited as payer of the license fee is obliged to withhold the profits tax before making payment to the authors.

K Limited is also required to file a profits tax return for each author, and should pay profits tax for the authors out of the money previously withheld.

Lastly, K Limited must check the relevant check box in its Profits Tax Return to properly disclose to the IRD that it has paid a license fee to a non-resident person during the year.

Answer 4(b)

In preparing the service proposal for the tax engagement pursuit, the firm should observe the requirements outlined in s.600 "Ethics in Tax Practice" of Chapter C "Additional Ethical Requirements" in the Code of Ethics for Professional Accountants published by HKICPA ("COE").

In particular, the COE provides guidance on the steps a tax professional should take in the event he becomes aware of a material error or omission in a client's tax return of a prior year.

Though no information is available on the under-reported amount for each year, taking the year of assessment 2024/25 alone the tax undercharged for all authors is HK$3,860,000 x 4.5%, (i.e. HK$173,700) -- over 24% of K Limited's current year profits tax liability as computed in Question 2(b) above. This amount can hardly be said to be insignificant.

The COE suggests that we should advise Kim of the issue and recommend him to make an appropriate disclosure to the IRD. In this case a voluntary disclosure of the full facts of the case together with an estimation of tax under-charged for all years, seems inevitable.

If Kim refuses to correct the error, we should inform Kim that we cannot act on behalf of K Limited in connection with the problematic return, and we should consider if we can work in any capacity with Kim.

If it is determined that we can continue to work with Kim, all reasonable steps should be taken to ensure that the error is not repeated in subsequent returns.

If we decide to cease working for Kim, he should be notified before the authorities are notified, if necessary.

We should determine whether disclosure of the matter to the external auditor or the IRD is appropriate.

* * * END OF SECTION A * * *

SECTION B – ESSAY/ SHORT QUESTIONS **(Total: 50 marks)**

Answer 5

To: Mr Chen
From: Kitty Wong
Date: XXX
Subject: Tax advice on director fee received from the Company

Dear Mr Chen,

Thank you for engaging me to provide tax advice on the subject matter. I have set out the advice on the chargeability of the director fee for your consideration:

- S.8(1)(a) provides that Salaries Tax shall be charged for each year of assessment on every person in respect of his income arising in or derived from Hong Kong from any office or employment of profit.

- S.8(1A)(a) extends income arising in or derived from Hong Kong from any employment to include all income derived from services rendered in Hong Kong including leave pay attributable to such services. S.8(1A)(b)(ii) excludes income derived from services rendered by a person who renders outside Hong Kong all the services in connection with his employment. In determining whether all services are rendered by a person outside Hong Kong, s.8(1B) provides that no account shall be taken of services rendered by a person in Hong Kong during visits not exceeding a total of 60 days in the basis period for the year of assessment.

- S.9(1)(a) defines income from any office or employment to include any wages, salary, leave pay, fee, commission, bonus, gratuity, perquisite, or allowance, whether derived from the employer or others.

- A guiding principle was laid down by the High Court in CIR v Geopfert (1987) 2 HKTC 210 in which Macdougall J ruled that the totality of facts must be considered in determining the source of an employment.

- In D123/02 18 IRBRD 150, the Board of Review held that the totality of facts test is equally applicable to determine the source of income from an office.

- Regarding the issue on the locality of an office, on the authority of McMillan v Guest [1924] 24 TC 190, the office of the director of a corporation is where the central management and control of the corporation is exercised.

- Following the decision in Swedish Central Railway Company Ltd v Thompson (1925) 9 TC 342, a company may have more than one residence.

- In the present case, irrespective of whether it is also resident elsewhere, the Company is resident in Hong Kong for the following reasons:

    - The Company was registered as a non-Hong Kong company in Hong Kong and was listed in Hong Kong.
    - The Company and its directors were required to comply with the Companies Ordinance in Hong Kong and Listing Rules in Hong Kong.
    - The Company maintained a principal place of business, Branch Share Registrar and Transfer Office in Hong Kong.
    - The Company held Board's meetings in Hong Kong.
    - Being an investment holding company, the main activity of the Company was to maintain its status as a company whose shares were listed on the Stock Exchange and to raise funds from the capital market in Hong Kong.
    - The Company employed staff and maintained bank accounts in Hong Kong.
    - Books and records were kept in Hong Kong and the Company's accounts were audited in Hong Kong.

- As I have concluded that the Company was resident in Hong Kong, it follows that the locality of your office with the Company was in Hong Kong. As such, the director fee received by you from the Company was arising in or derived from Hong Kong and should be chargeable to Salaries Tax under ss.8(1)(a) and 9(1)(a) of the IRO.

- Although you stayed in Hong Kong for less than 60 days in the year of assessment 2022/23, the director fee is not to be excluded under ss. 8(1A)(b)(ii) and 8(1B) of the IRO, which is applicable to income derived by a person in connection with employment. (The exemption under ss.8(1A)(b)(ii) and 8(1B) of the IRO is not applicable to income from office in this case.)

I hope the above clears your doubts. Please feel free to contact me if you need further assistance.

Best regards,
Kitty Wong

Answer 6(a)(i)

- S.12(1)(a) provides that in ascertaining the net assessable income of a person, there shall be deducted from the assessable income of that person all outgoings and expenses, other than expenses of a domestic or private nature and capital expenditure, wholly, exclusively and necessarily incurred in the production of the assessable income.

- In CIR v Humphrey 1 HKTC 451, the court held that the phrase "in the production of the assessable income" was not materially different from "in the performance of the duties of the employment", and only those expenses which were incurred in the performance of the duties of the employment could be regarded as "incurred in the production of the assessable income". The phrase "in the performance of the duties" means "in the course of the performance of the duties, and not before or after the performance": see Ricketts v Colquhoun 10 TC 118. There is, therefore, a distinction between expenses incurred in the course of producing income and those incurred for the purpose of producing income: see CIR v Robert P. Burns 1 HKTC 1181. The latter type of expenses which are incurred in putting the taxpayer in a position ready to earn his income is not deductible.

- Medical expenses were not incurred while Mrs Poon was performing her duties but were incurred to put herself in a position ready to perform her duties to earn her income. On the authorities as cited above, medical expenses could not be regarded as having been incurred in the production of Mrs Poon's assessable income. Additionally, it is clear that the expenses were incurred by Mrs Poon for her own health and well-being and were domestic and private in nature. As medical expenses fail to meet the conditions under s.12(1)(a) of the IRO, they are not allowable for deduction. (D72/02 17 IRBRD 950 followed)

Answer 6(a)(ii)

- S.26O(1)(a) provides that the policy holder or policy holders must be the taxpayer; the taxpayer's spouse; or the taxpayer and the taxpayer's spouse.

- As the policy holders are Mr Poon and his mother, the condition under s.26O(1)(a) is not satisfied. No deduction would be allowed in respect of the qualifying annuity premiums paid of HK$30,000 even though Mr Poon was one of the policy holders and the sole annuitant.

Answer 6(b)(i)

Mr Poon
Salaries Tax computation
Year of assessment 2023/24

		HK$
Salary		910,000
Less:	Concessionary deductions	
	Charitable donations	(30,000)
	Elderly residential care expenses	(100,000)
	Home loan interest	(40,000)
	MPF contributions	(18,000)
	Tax deductible MPF voluntary contributions	(24,000)
	Domestic rents	(25,000)
		673,000
Less:	Allowances	
	Basic allowance	(132,000)
	Dependent parent allowance	(50,000)
	Additional dependent parent allowance	(50,000)
Net chargeable Income		441,000
Tax at progressive rate (Note)		56,970
Less:	Tax reduction	(3,000)
Tax payable		53,970

Note: Tax at standard rate is higher and not applicable,
i.e. (HK$673,000 @15% – HK$3,000) = HK$97,950.

Answer 6(b)(ii)

Mrs Poon
Salaries Tax computation
Year of assessment 2023/24

		HK$
Salary		720,000
Less:	Home loan interest	(40,000)
	MPF contributions	(18,000)
	VHIS (s.26K(2))	(5,000)
	Domestic rents	(25,000)
		632,000
Less:	Basic allowance	(132,000)
Net Chargeable Income		500,000
Tax at progressive rate (Note)		67,000
Less:	Tax reduction	(3,000)
Tax payable		64,000

Note: Tax at standard rate is higher and not applicable,
i.e.(HK$632,000@15% – HK$3,000) = HK$91,800.

Answer 6(c)

Mr Poon
Property tax liability of Mr Poon
Year of assessment 2023/24

		HK$
Rental income (HK$5,000 x 12)		60,000
Less:	Rates (HK$800 x 4)	(3,200)
		56,800
Less:	20% statutory allowance	(11,360)
Net Assessable Value		45,440
Property tax @15%		6,816

Answer 6(d)

Mr Poon
Personal Assessment computation
Year of assessment 2023/24

		HK$
Net assessable value (S.42(1)(a))		45,440
Net assessable income (S.42(1)(b))		910,000
		955,440
Less:	Mortgage interest (S.42(1) proviso)	(17,000)
Total income (S.42(1))		938,440
Less:	Concessionary deductions (from Q6(b)(i))	(237,000)
Reduced total income		701,440
Less:	Basic allowance	(132,000)
	Dependent parent allowance	(50,000)
	Additional dependent parent allowance	(50,000)
Net Chargeable Income		469,440
Tax at progressive rate		61,804
Less:	Tax reduction	(3,000)
Tax payable (after tax reduction of HK$3,000)		58,804
If no personal assessment, tax payable under:		
-	Salaries Tax	53,970
-	Property Tax	6,816
		60,786

It is more tax advantageous for Mr Poon to elect for personal assessment for the year of assessment 2023/24.

Answer 6(e)

- S.51(7) of the IRO provides that any person chargeable to salaries tax who is about to leave Hong Kong for any period exceeding 1 month shall give notice in writing to the CIR of his expected date of departure, and if he intends to return to Hong Kong the approximate date of his return. Such notice shall be given not later than 1 month before the expected date of departure.

- Mr Poon and Mrs Poon's tax obligations include:
  - Notifying the IRD of the intended date of departure in writing;
  - Submitting tax returns for the year of assessment 2024/25; and
  - Settling tax bills before leaving Hong Kong.

Answer 7(a)

- For a lease with premium and rent, the premium will be charged for stamp duty at 4.25% of the consideration (Head 1(2)(a) and Note 1 to Head 1(1) in the First Schedule of the Stamp Duty Ordinance ("SDO")), whilst rent will be charged at the applicable rate under Head 1(2)(b) in the First Schedule of the SDO.

- As the term of the lease exceeds one year but does not exceed three years, the lease will be subject to stamp duty of 0.5% of average yearly rent (Head 1(2)(b)(iii) in the First Schedule of the SDO).

- For rent stated as contingency, the maximum amount specified in the lease is used for the calculation. (i.e. HK$300,000 per month)

- The yearly average rent is HK$4,433,400
  [(HK$300,000 + HK$80,000) x 35 / 3, rounded-up to the nearest HK$100].

- The total amount of stamp duty for the lease is HK$30,667
  [(HK$4,433,400 x 0.5%) + (HK$200,000 x 4.25%)].

Answer 7(b)

- According to s.24(1) of the SDO, in the case of a transaction whereby a beneficial interest in Hong Kong stock passes, where the transaction is in consideration, wholly or in part, of any debt due to the transferee, the debt is to be deemed the whole of part or part, as the case may be, of the consideration by reference to which the contract note is chargeable with stamp duty.

- As the debt due to Forest Limited would be fully discharged by the Shares, the debt of HK$15 million, shall be deemed as the consideration by operation of s.24(1).

- S.24(2) provides that, where a transaction whereby a beneficial interest in any Hong Kong stock passes is in consideration wholly or in part of any debt due to the transferee and, apart from this subsection, the consideration by reference to which the conveyance or contact note would be chargeable with stamp duty would exceed the value of beneficial interest passing, that consideration shall be treated as reduced to that value.

- By virtue of s.24(2), the consideration shall be reduced to HK$14,000,000, i.e. the value of the shares transferred. (Stamp Office Interpretation and Practice Notes ("SOIPN") No. 3 Para. 11-14)

- To obtain relief under s.24(2), the contact notes effecting the transaction must be adjudicated by the Collector of Stamp Revenue under s.13(3).

- The amount of stamp duty payable on the contract notes is HK$36,400 (HK$14 million x 0.13% x 2) under Head 2(1) in the First Schedule of the SDO.

- The instrument of transfer effecting the transfer of legal title of the shares will be chargeable with stamp duty of HK$5 under Head 2(4) in the First Schedule of the SDO.

Answer 7(c)

- Para. 44 of SOIPN No.1 states that where there is a pre-condition that a flat must be sold together with the car park or vice versa, then the transactions will likely form part of a larger transaction or a series of transactions.

- In Attorney General v Cohen [1937] 1 KB 478, the court looked for the presence of co-ordination or some degree of interdependence between the transactions when deciding whether the transactions were "part of a larger transaction" or a "part of a series of transactions".

- The conditional clause in the two provision agreements of sales and purchase ("PASPs") clearly shows the interdependence of the two transactions for the residential property ("the Flat") and the car parking space ("the CPS"), and that without the concurrent completion of both transactions, the vendor would be entitled not to proceed with any assignment. The completion of the two transactions must both take place together at the same time (failing which neither transaction could be completed). In addition, the following factors also indicate the co-ordination or interdependence between the two transactions:

  - The Flat and the CPS are located in the same estate;
  - The vendor of the two properties was the same;
  - The purchasers of the two properties were related; and
  - The two PASPs and two assignments of the two properties were executed on the same date.

  (Wong Sau Har & Anor v The Collector of Stamp Revenue [2019] 3 HKC 299)

- The Ad valorem stamp duty ("AVD") of the two PASPs will then be computed at the rate pertinent to the total amount or value of the consideration of the Flat and the CPS.

- Under s.29BB of the SDO, an agreement for sale of a residential property is chargeable with AVD at Scale 2 rates if the purchaser is a Hong Kong permanent resident ("HKPR") acting on his or her own behalf and is not a beneficial owner of any other residential property in Hong Kong on the date of acquisition of the residential property.

- If the property concerned is a non-residential property, an agreement for sale is chargeable with stamp duty under Scale 2 of Head 1(1A) in the First Schedule of the SDO.

- At the date of PASP, as Mr Lam is a HKPR and is acting on his own behalf in acquiring the Flat and was not a beneficial owner of any other residential property in Hong Kong, the PASP in relation to the Flat is chargeable with AVD at Scale 2 rates.

- As the CPS is a non-residential property, the PASP in relation to the CPS is chargeable with stamp duty under Scale 2 of Head 1(1A).

- As the PASPs, each forms part of a larger transaction or series of transactions in respect of which the amount or value, or the aggregate amount or value, of the consideration does not exceed HK$9,000,000, they should be chargeable with stamp duty under Scale 2(g) of Head 1(1A) in the First Schedule of the SDO as follows:

    - The Flat: HK$180,000 (HK$6,000,000 x 3%)
    - The CPS: HK$24,000 (HK$800,000 x 3%)

- Provided that the PASPs are duly stamped, each of the two assignments will be chargeable with stamp duty of HK$100 [s.29D(2)(a) of the SDO].

* * * END OF EXAMINATION PAPER * * *